Cambridge Assessment International Education

Cambridge O Level

COMMERCE **7100/11**

Paper 1 Multiple Choice **October/November 2022**

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **forty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

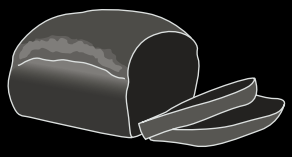
- The total mark for this paper is 40.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

IB22 11_7100_11/3RP
© UCLES 2022

[Turn over

1 Which picture shows a human need?

A



B



C



D



2 Raw materials and finished goods may not be immediately required for the next stage in the chain of production.

Which aid to trade solves this problem?

A advertising

B communications

C transport

D warehousing

3 How are commercial services and direct services interrelated?

A Buying and selling are examples of direct services.

B Commercial services depend on direct services.

C Direct services include advertising, accounting and medical services.

D Tertiary production consists of commerce and direct services.

4 Which type of retailer sells a limited range of products and uses national advertising?

A department store

B hypermarket

C speciality chain store

D variety chain

5 Which factor threatens the survival of a small independent retailer?

A cash and carry warehouses

B factory shops

C large-scale retailers

D voluntary chains

© UCLES 2022

6 A manufacturer gives a trade mark to one of its products.

What is this called?

A bar coding

B branding

C EPOS

D packaging

7 What is the correct order for making purchases online?

A select goods → visit website → make payment → receive delivery

B select goods → visit website → receive delivery → make payment

C visit website → select goods → make payment → receive delivery

D visit website → select goods → receive delivery → make payment

8 Which credit term matches its correct description?

	credit term	description
A	consumer credit	individuals buying goods and services
B	credit sales	goods are paid for when purchased
C	credit card	a plastic card issued only by retail stores
D	creditworthiness	the ability to pay for what is bought

© UCLES 2022

[Turn over

9 Suleiman received this credit card statement.

statement date	1 October
opening balance	$2000
debits	$750
credits	$500
new balance	$2250
credit limit	$5000
minimum payment	$85
payment to be credited by	21 October

Which way will Suleiman avoid paying any interest?

A pay $750 after 21 October

B pay $2000 before 21 October

C pay $2250 after 21 October

D pay $2250 before 21 October

10 Which advantage does a retailer achieve when a wholesaler breaks bulk?

A benefiting from trade discount

B buying goods on credit

C purchasing smaller quantities

D receiving pre-packed goods for sale

11 The table shows information about intermediaries in foreign trade.

intermediary	function	reward
agent	acts for others	earns commission
forwarding agent	arranges transportation documents	earns fees
X	brings buyers and sellers together	earns commission

What is **X**?

A broker

B del credere agent

C export merchant

D factor

© UCLES 2022

12 What is the correct order of use for these trade documents in a credit sale?

A quotation → cheque → invoice → order → statement → receipt

B quotation → invoice → order → statement → cheque → receipt

C quotation → order → statement → cheque → invoice → receipt

D quotation → order → invoice → statement → cheque → receipt

13 The diagram shows an invoice for goods purchased.

Invoice No. 317293			16 October
ET Trading			
description	quantity	unit price $	total $
cooking oil	20	10	200
baked beans	50	2	100
dried fish	100	3	300
Total			600
Terms: 5% 7 days: 2.5% 30 days			

The customer paid the invoice on 26 October.

How much did the customer pay?

A $15 **B** $570 **C** $585 **D** $600

14 The table shows visible exports and imports of four countries, **A**–**D**.

Which country has a Balance of Trade surplus of $3m?

	exports $m	imports $m
A	7	10
B	15	12
C	35	58
D	70	61

© UCLES 2022

15 What is a tariff?

A duty on imported goods

B limit on number of goods imported

C tax on locally produced goods

D total ban on specific goods

16 Why is trading overseas more difficult than trading in the home market?

A Both traders operate within a trading bloc.

B Different legal systems will apply.

C Fewer goods are demanded.

D Road and rail transport cannot be used.

17 What is a benefit to a retailer of a successful advertising campaign?

A improving the quality of goods

B knowing which goods are required

C selling more goods than before

D setting the price of goods

18 The diagram shows an advertisement for an expensive brand of perfume.



Which method of appeal is used?

A ambition

B hero worship

C social acceptance

D success

© UCLES 2022

19 What is an advantage to a business of internet advertising?

A Competitors have access to product details and prices.

B Competitors may post false reviews.

C Consumers can compare products from other suppliers.

D The business can monitor how many times advertisements are viewed.

20 What is the cheapest method of sending a written message from one company to another?

A airmail

B courier

C email

D post

21 What is a blog?

A app

B online diary

C pop-up

D social network

22 Which service is provided for an air freight company by an airport authority?

A collection of customs duties

B duty-free shopping

C hire of aircraft

D warehousing of goods

23 A consignment note is used when

A hiring a transport company to carry goods.

B moving goods by sea and rail.

C transporting goods by air freight.

D using own vehicle to deliver goods.

24 Why do firms use air freight to send goods to other countries?

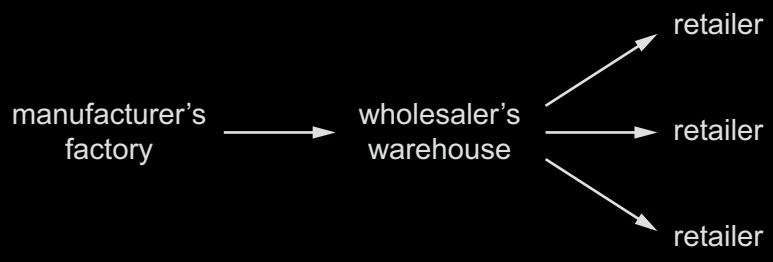
A Insurance costs are higher.

B It is cost effective for high value goods.

C No transhipment of goods is required.

D Planes cannot carry bulk loads.

25 The diagram shows the channel of distribution from a manufacturer to retailers.



Which function of warehousing is shown?

A breaking bulk quantity into smaller quantities

B helping with production of goods

C keeping goods until duty has been paid

D storing products until buyers can be found

26 What is a bonded warehouse used for?

A keeping illegally imported goods

B offering wholesaling services

C retaining goods until duty is paid

D storing goods not subject to duty

27 Which product would be stored in a cold storage warehouse?

A canned meat

B dried fruit

C ground coffee

D raw fish

© UCLES 2022

28 The table provides information about an insurance company.

	$m
administration costs	10
claims by policy holders	50
interest on investments	5
premiums received	80

How much is the profit of the insurance company?

A $5m **B** $25m **C** $40m **D** $70m

29 'This person assesses the probability of insurance risks and calculates premiums payable.'

What is this person called?

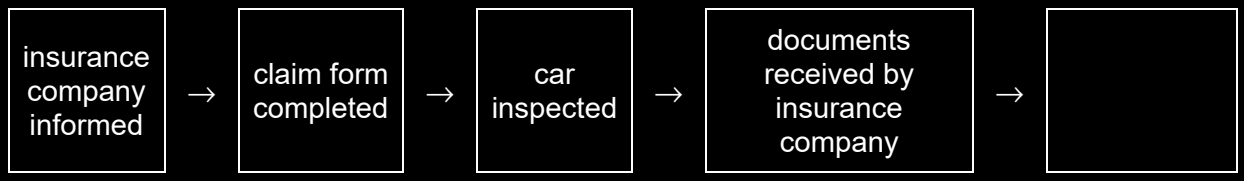
A actuary

B agent

C broker

D underwriter

30 The diagram shows the steps taken by an insured driver to make a claim after a car accident.



What is the final step?

A compensation paid

B damaged articles recorded

C police called

D proposal form completed

31 The diagram shows a partly completed bank statement.

Bank Statement

		credit $	debit $	balance $
1 October	balance b/f			200
6 October	cheque 456873		50	150
14 October	direct debit		100	50
16 October	salary			

The amount of salary paid into the account was $700.

What is the correct entry for 16 October?

A $700 in the credit column and the balance would be $650

B $700 in the credit column and the balance would be $750

C $700 in the debit column and the balance would be $650 overdrawn

D $700 in the debit column and the balance would be $750 overdrawn

32 What is the **most** likely effect a cashless society will have on banks?

A Customers will not go overdrawn.

B More bank branches will be opened.

C Queues will be longer at ATMs.

D The use of debit cards will increase.

33 Why might a manufacturer choose to open a factory shop on its production site?

A advertise new products

B clear substandard goods

C sell at premium prices

D sell directly to retailers

34 Which person will be employed in the public sector of a country?

A firefighter

B storekeeper

C taxi driver

D waiter

© UCLES 2022

35 Edward has a small business. He wants to buy a new delivery van on credit for $10 000.

Which method of credit is he **most** likely to use?

A credit card

B extended credit

C hire purchase

D informal credit

36 What is the function of working capital?

A buying land

B funding dividends

C paying wages

D repaying bank loan

37 What is the best method to improve the rate of inventory turnover for a small business selling fast food?

A improving marketing

B increasing overdraft

C lowering wages

D reducing wastage

38 The diagram shows a notice in a restaurant window.



Which PEST factor is this an example of?

A economic

B political

C social

D technological

39 What is an example of recycling?

A bio-diesel fuel

B bottle banks

C fair trade

D wind farms

40 Joan purchased an expensive gold necklace. Two days later the chain broke. She took these steps.

read guarantee → contacted shop → presented receipt → requested refund

What should she do if the shop does **not** give her a refund?

A contact the manufacturer

B make an insurance claim

C report to the police

D take court action

Permission to reproduce items where third-party owned material protected by copyright is included has been sought and cleared where possible. Every reasonable effort has been made by the publisher (UCLES) to trace copyright holders, but if any items requiring clearance have unwittingly been included, the publisher will be pleased to make amends at the earliest possible opportunity.

To avoid the issue of disclosure of answer-related information to candidates, all copyright acknowledgements are reproduced online in the Cambridge Assessment International Education Copyright Acknowledgements Booklet. This is produced for each series of examinations and is freely available to download at www.cambridgeinternational.org after the live examination series.

Cambridge Assessment International Education is part of Cambridge Assessment. Cambridge Assessment is the brand name of the University of Cambridge Local Examinations Syndicate (UCLES), which is a department of the University of Cambridge.

© UCLES 2022